BLUEGRASS CAPITAL RESEARCH

Cameco Corporation

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Energy | *Uranium*
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Cameco: Holding for Critical Mass

Cameco sits at the intersection of two structural forces reshaping the energy market: a supply-constrained Western uranium supply chain severing its ties from Russia, and a surging demand signal from AI-powered data centers that need reliable, 24/7 carbon-free baseload power. The company's integrated platform across Canadian mines, the only North American conversion facility, and 49% ownership of Westinghouse Electric gives it a structural edge no competitor can match. **We initiate $CCJ with a Hold rating and a 12-month price target of $133.**

Thesis Point 1 Following the invasion of Ukraine, Western utilities have been aggressively moving away from Russian supply chains, which historically provided roughly 40% of global enrichment capacity. Cameco's mines sit in the safe, stable jurisdiction of Canada, and that matters more than ever. Unlike its primary competitor, Kazatomprom, which is stuck between Russia and China and reliant on complicated overland routes just to get material to Western buyers, Cameco can deliver with certainty. Security of supply is the new premium. Cameco currently has 230 million pounds committed under long-term contracts, with average annual delivery commitments of roughly 28 million pounds per year through 2029, and roughly 70% of those contracts carry market-related pricing with hard downside price floors. The market is no longer pricing uranium on cost-to-dig. It is pricing in the certainty that it will actually show up.

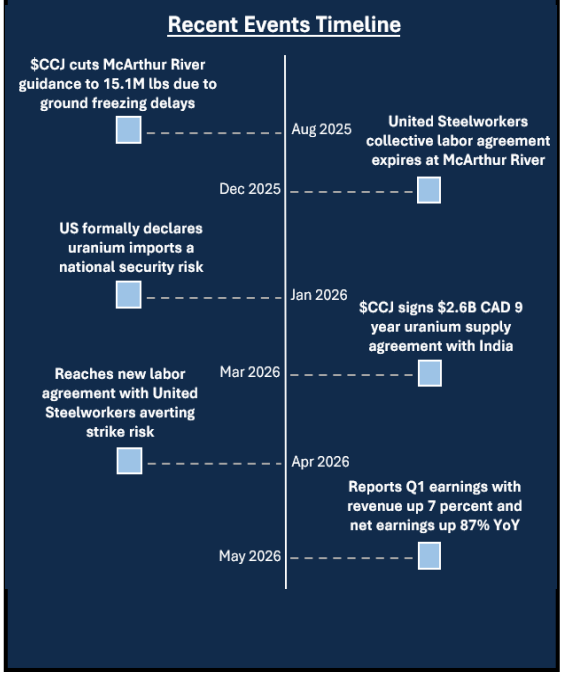
Thesis Point 2 Nuclear energy is at an inflection point, and artificial intelligence is the match that lit the fuse. AI data centers demand massive, uninterruptible power, 24/7, 365 days a year, and wind and solar simply cannot provide that without prohibitively expensive storage. Amazon, Microsoft, and Google have already made this call explicitly, tying their infrastructure buildouts to carbon-free nuclear power. That demand surge is hitting a market that is structurally short. Cameco cut McArthur River guidance in 2025 to 15.1 million pounds, down from an 18 million pound target, and Kazatomprom reset its 2026 production ceiling to roughly 77 million pounds, down from 85 million. In January 2026, the U.S. declared uranium imports a national security risk, and Cameco signed a $2.6 billion CAD supply deal with India covering 22 million pounds through 2035. In a tight market with a widening geopolitical moat, reliable, high-quality Western producers gain real negotiating leverage on both price and contract structure. Cameco is at the top of that list.

Company Overview Cameco Corporation is one of the world's largest providers of uranium fuel, operating across three main segments. First, Uranium is the core value driver. Cameco's mining operations are anchored by two industry-defining assets: McArthur River/Key Lake, the world's largest high-grade uranium operation, and Cigar Lake, which holds the highest-grade ore on the planet. Ore grades at both operations run roughly

Cameco

TICKER:	CCJ
RATING:	HOLD
PRICE:	$116.75
PRICE TARGET:	$133.32
MARKET CAP:	$53.2bn USD
52-W RANGE:	$45.42 - $135.24
NTM P/E:	79.0x
IMPLIED UPSIDE:	14.19%





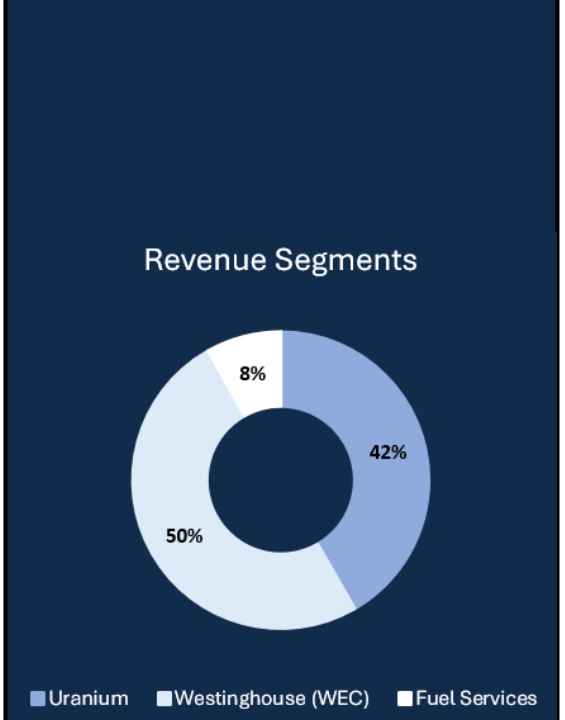
100 times the global average, giving Cameco a structural cost advantage over virtually every other producer. Second, Fuel Services provides a stable, high-margin revenue stream through Port Hope, the only uranium conversion facility of its kind in North America, generating $562 million CAD in 2025, up 22% year-over-year. Third, Westinghouse (49% ownership) is the original equipment manufacturer for roughly half the global nuclear reactor fleet, providing consistent servicing revenue while its Energy Systems division deploys new AP1000 reactors globally, including a significant role in the Dukovany construction project in the Czech Republic.

Despite a 2025 production shortfall at McArthur River, where output came in at 15.1 million pounds against an 18 million pound target due to ground freezing delays, the company's full-year results showed real resilience. Revenue reached $3.48 billion CAD and adjusted EBITDA hit $1.93 billion CAD, up 26% year-over-year. Cameco ended the year with $1.2 billion CAD in cash, raised the annual dividend 50% to $0.24 CAD per share a full year ahead of schedule, and received the first installment of a $300 million CAD tax refund, with an additional ~$480 million still pending.

Risk 1 The investment thesis essentially relies on Cameco having the ability to actually ramp production at McArthur River to fill the structural demand deficit they are positioned to capture. In 2025 ground freezing delays forced a guidance cut from 18 million pounds down to 15.1 million which required the company to make expensive spot market purchases just to cover their committed deliveries. If the brine distribution system underperforms again in 2026 and Zone 1 gets delayed further, they will be forced to continue sourcing an additional 3 to 5 million pounds on the open market. Buying spot at roughly $85 per pound versus their blended contracted price of approximately $62 per pound creates a massive estimated $70 to 100 million CAD EBIT headwind. When you stretch that operational failure out over multiple quarters it compresses margins by roughly 10 to 15 percent for the full year and completely derails the near-term cash flow narrative which is fully reflected in our bear case.

Risk 2 Cameco holds a 40% interest in JV Inkai, an in situ recovery operation in Kazakhstan that provides a supplemental production and earnings stream. In January 2025, operations were briefly suspended due to regulatory delays before resuming January 23rd, a clear illustration of the jurisdiction's unpredictability. If Russia were to interfere with the Trans-Caspian International Transport Route Cameco uses to move Inkai material west, or if new Western sanctions tightened logistics further, Cameco could lose access to this income stream entirely. Based on 2025 affiliate income of $216 million CAD, we estimate Inkai contributed approximately $80-100 million CAD of that total, representing roughly 4-5% of adjusted EBITDA. Not company-ending, but a measurable number the market would react to.

Catalysts Near-term catalysts center on restoring McArthur River's production trajectory and converting Cameco's integrated platform into recognized earnings power. The single most critical operational catalyst is



Terminal Value	
Exit Multiple Method	
2031 EBIT	$2,477
EV/EBIT Exit Multiple	32.0x
Terminal Value	$79,279
PV of Terminal Value	$53,273
PV of Projection Period	$4,591
PV of Terminal Value	$53,273
Implied TEV	$57,864
(-) Debt	$1,013
(+) Cash	$1,214
Implied Equity Value	$58,065
Diluted Shares Outstanding	436
Implied Share Price	$133.32
Upside/Downside	14.2%
Implied PGR	4.6%

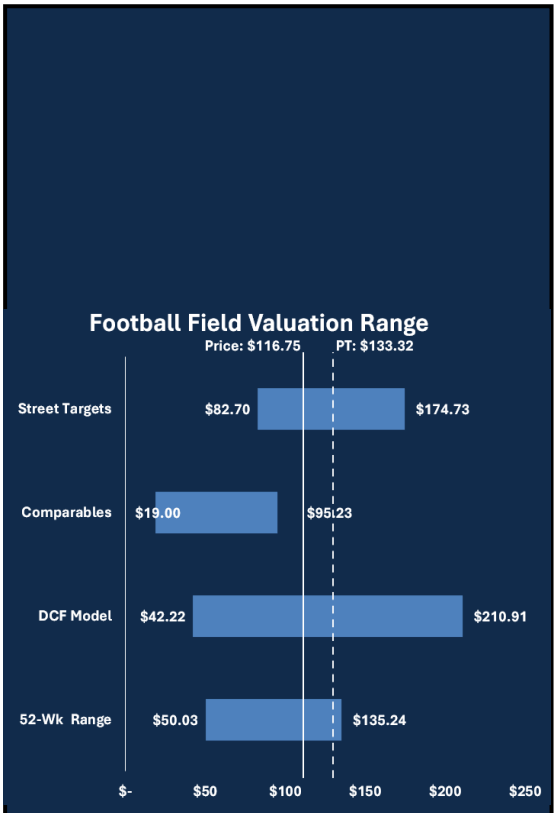
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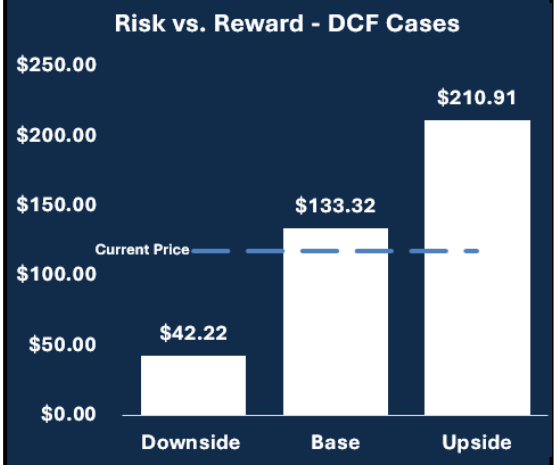
Zone 1 commissioning at McArthur River in 2026. If it comes online as planned, it directly removes the need to purchase expensive spot market pounds to cover delivery commitments. On Westinghouse, the $171.5 million CAD cash distribution from the Dukovany AP1000 construction project already flowed through 2025 financials and is directly embedded in our bull case revenue projections. Additional AP1000 contract announcements with U.S. Government-backed financing, and any concrete steps toward a Westinghouse IPO at a $30 billion-plus valuation, are the longer-term catalysts that matter.

Valuation

DCF Analysis ($mm)	FY2026 12/31/2026	FY2027 12/31/2027	FY2028 12/30/2028	FY2029 12/30/2029	FY2030 12/30/2030	FY2031 12/31/2031
Stub	0.36	1.36	2.36	3.36	4.36	5.36
Discount Period	0.32	1.14	2.14	3.14	4.14	5.14
Revenue	7,410	7,954	8,519	9,103	9,705	10,323
Revenue Growth	*113%*	*7%*	*7%*	*7%*	*7%*	*6%*
Uranium	3,100	3,317	3,541	3,771	4,007	4,247
Westinghouse (WEC)	3,720	4,018	4,329	4,654	4,991	5,340
Fuel Services	590	620	649	678	707	735
EBIT	700	1,034	1,342	1,684	2,062	2,477
EBIT Margin	*9%*	*13%*	*16%*	*19%*	*21%*	*24%*
Tax Expense	175	248	322	404	495	595
Effective Tax Rate	*25%*	*24%*	*24%*	*24%*	*24%*	*24%*
NOPAT	525.00	785.87	1,019.70	1,279.86	1,567.31	1,882.87
D&A	335	668	716	765	815	867
Capex	400	764	773	778	779	774
Changes in NWC	80	159	170	182	194	206
UFCF	380	531	792	1,084	1,410	1,769
PV of FCF	371	486	671	850	1,023	1,189

Our base case valuation utilizes a Discounted Cash Flow model yielding a price target of $133.32. The model projects Cameco standalone revenue growing from $7.41 billion CAD in 2026 to $10.32 billion CAD by 2031 with EBIT margins expanding from 9 percent to 24 percent as Zone 1 normalizes production. For valuation visibility, our model non-traditionally consolidates Cameco's proportionate share of Westinghouse revenue into the top line. We apply a 32x EV/EBIT exit multiple on 2031 EBIT of approximately $2.48 billion CAD using a WACC of 8.04 percent. Our price target reflects a slight premium to the Street consensus of approximately $131 USD weighing long term AI demand against Zone 1 execution risk.





Conclusion

In Cameco, investors are buying into a once-in-a-decade structural shift: the only Western-controlled, fully integrated nuclear fuel platform sitting at the center of a supply shortage the world cannot ignore. The long-term thesis is supported by 230 million pounds under contract, U.S. Government backing of an $80 billion Westinghouse deployment, and a uranium supply market running 10-20% short of global reactor demand. These are not aspirational statements. They are current facts. The Hold rating is a valuation call, not a thesis call. At roughly 79x NTM P/E, the stock is asking investors to pay for a perfect execution story before Zone 1 is proven and the labor situation is resolved. When those confirmations arrive, this Hold becomes a Buy. **We initiate $CCJ with a Hold rating and a 12-month price target of $133, representing approximately 14% upside from current levels.**

Bluegrass Capital Research

Income Statement ($mm)	2025A	2026E	2027E	2028E	2029E	CAGR%
Revenue	3,482	7,410	7,954	8,519	9,103	27.2%
EBITDA	870	1,035	1,702	2,057	2,449	29.5%
EBIT	581	700	1,034	1,342	1,684	30.5%
NOPAT	393	525	786	1,020	1,280	34.3%

Margin & Growth Data	2025A	2026E	2027E	2028E	2029E	AVG%
EBITDA Margin	25.0%	14.0%	21.4%	24.2%	26.9%	22.3%
EBIT Margin	16.7%	9.4%	13.0%	15.8%	18.5%	14.7%
Revenue Growth	11.0%	112.8%	7.3%	7.1%	6.9%	29.0%
EBIT Growth	22.3%	20.6%	47.7%	29.8%	25.5%	29.2%

Valuation Metrics	2025A	2026E	2027E	2028E	2029E	AVG%
P/FCF	128.7x	140.0x	100.1x	67.2x	49.1x	97.0x
EV/Sales	7.7x	7.2x	6.7x	6.2x	5.8x	6.7x
EV/EBITDA	60.9x	51.2x	31.1x	25.8x	21.6x	38.1x
FCF Yield	0.8%	0.7%	1.0%	1.5%	2.0%	1.2%

Comparable Companies

$mm

Ticker	Mkt Cap	EV	P/E LTM	Revenue LTM	EBITDA LTM
Centrus Energy Corp. (NYSE:LEU)	$4,043	$3,302	52.6x	$449	$53
National Atomic Company Kazatomprom JSC (K	$22,751	$24,188	18.3x	$3,934	$1,996
BWX Technologies, Inc. (NYSE:BWXT)	$19,805	$21,366	60.4x	$3,198	$448
NexGen Energy Ltd. (TSX:NXE)	$7,950	$7,563	-30.8x	-	-$64
Cameco	$50,691	$50,544	117.6x	$2,546	$666

Ticker	LTM EV/EBITDA	Gross Margin	EBITDA Margin	EBIT Margin	1 Yr Rev Growth Rate LF
Centrus Energy Corp. (NYSE:LEU)	61.9x	26.2%	11.9%	9.7%	1.5%
National Atomic Company Kazatomprom JSC (K	12.1x	55.4%	50.7%	42.1%	(0.6%)
BWX Technologies, Inc. (NYSE:BWXT)	47.7x	22.9%	14.0%	10.6%	18.3%
NexGen Energy Ltd. (TSX:NXE)	-118.0x	-	-	-	-
Cameco	75.9x	36.3%	26.2%	16.7%	11.0%
High	75.86x	55.4%	50.7%	42.1%	18.3%
75th Percentile	61.95x	41.1%	32.3%	23.1%	12.9%
Average	15.94x	35.2%	25.7%	19.8%	7.6%
Median	47.74x	31.3%	0.0%	13.7%	6.3%
25th Percentile	12.12x	25.4%	13.5%	10.4%	1.0%
Low	-117.99x	22.9%	11.9%	9.7%	-0.6%

Cameco		
Implied Enterprise Value (25th Percentile)	$	8,074
Implied Enterprise Value (Median)	**$**	**31,812**
Implied Enterprise Value (75th Percentile)	$	41,276
Implied Share Price (25th Percentile)	$	19.00
Implied Share Price (Median)	**$**	**73.50**
Implied Share Price (75th Percentile)	$	95.23

Weighted Average Cost of Capital ($mm)	
Market Risk Premium	4.33%
Beta	1.02
Risk Free Rate	4.41%
Cost of Equity	7.44%
Weighted Average Cost of Debt	5.09%
Tax Rate	24.00%
Cost of Debt	0.60%
Total Equity	$53,200
Total Debt	($202)
Equity/Total Capitalization	84.39%
Debt/Total Capitalization	15.61%
WACC	8.04%

Downside Case: Our downside scenario models a McArthur River production failure where Zone 1 delays and severe ground freezing system failures force continued expensive spot purchases compressing EBIT margins to approximately 15 percent through 2027. With uranium revenue growth stalling and a lower 12x EV/EBIT exit multiple applied we arrive at a calculated price of approximately $42 implying roughly 64 percent downside from current levels.

Upside Case: Our upside scenario models successful Zone 1 commissioning and accelerating Westinghouse AP1000 contract flow, with EBIT margins expanding to 21% or better from 2027 onward. Continued Kazatomprom supply discipline and additional India-style sovereign contracts support a premium 25x EV/EBIT exit multiple, arriving at a calculated price of approximately $211, implying approximately 81% upside from current levels.

Disclosures and Ratings: Bluegrass Capital Research does not hold any professional relationships with the securities mentioned in this report. Our ratings are defined as follows: **Buy** (expected to outperform the market), **Hold** (expected to perform in line with the market), and **Sell** (expected to underperform the market), typically over a 12-month horizon. This report is for educational and informational purposes only and should not be considered as financial advice.